

SPIN-OFFS

DATA QUEST

**Garage Start-ups**

Many a start up was set-up in the family garage with a few thousand rupees and a laptop, including hugely successful ones like Makemytrip.com and Naukri.com. Even Google was one.

Venture Capitalists

Where would venture capitalists invest had it not been for the IT industry? At least 55-60 per cent of venture capitalists' investments in the last three years have been in IT companies.

**One Night at the Call Centre**
Chetan Bhagat's

bestselling novel revolves around six people working in a call centre.

Killer Cabs

The biggest menace on the roads after Blue-lines, they have killed many. In 2007, as many as 1,654 call centre cabs were challaned, 74 cabs impounded and 197 drivers arrested.

BarCamps An informal gathering in an open environment, these meetings, better known as unconferences, are mostly unstructured with content provided by participants. Thrive on volunteers and, sometimes, sponsors.

The TRAILBLAZERS

S. RAMADORAJ The former CEO and MD of TCS, he transformed the firm from a \$400-million company with 6,000-odd employees to a \$6-billion conglomerate with over 151 offices and 1,43,000 employees worldwide.



SHIV NADAR As chairman of one of India's largest IT companies, the Rs 10,591 crore HCL Technologies, he transformed what was essentially a hardware firm into an integrated IT enterprise by constantly reinventing his company's focus.



AZIM PREMJI The fifth richest Indian and the chairman of Wipro is one of the oldest players and architects of the IT revolution. With revenue of over Rs 25,544 crore, Wipro has interests in not only IT, but also in FMCG, water and energy.



N. R. NARAYANA MURTHY He started Infosys with a small investment of Rs 10,000 with six others and nurtured it to become a world-class company.



exchanging ideas, goods and money through groundbreaking business models. Suddenly, the world needed experts in cutting-edge technology, and Indian IT quickly took the lead. During this time, industry invested in tools and centres of excellence, refined processes, and strove for continuous improvements in quality and productivity. The industry saw stellar growth rates of 40-50 per cent, and prices for services increased. Indian companies gained high market capitalisation and were listed on foreign exchanges. Stock options exploded, transforming drivers and cleaners into overnight millionaires.

The Main Street Phase (2002-2009) In 2002, the US economy started to feel the impact of a stock market bubble. Stratospheric valuations, easy availability of capital, reckless investment in IT and low interest rates created the perfect storm. The markets crashed, companies failed, and an atmosphere of gloom pervaded the industry. Indian IT reinvented itself during this time by focusing on Main Street, working with companies that provided the basic goods and services of everyday life. Firms restructured, spent more on sales, expanded geographically and penetrated new markets. The IT industries expanded their services to offer end-to-end service capabilities and expanded beyond the English-speaking market. Growth reached an impressive 30 per cent. India also gained prominence in the field of global research and development (R&D) work, ranging from engineering to semiconductor and chip design. International companies opened R&D facilities in India.

Knowledge Capital Phase (2010) The IT industry is ready for the next phase where solutions capability, transformational

ability, and the capacity to take up large-scale initiatives will become a competitive advantage. The industry has become a world leader in product design, embedded systems and product engineering. Two million people are employed in this sector and these companies dominate the top lists in many areas. An increasing amount of global R&D work is done in India. Many MNCs view India as a main base of delivery.

However, immense challenges remain. Innovation needs to be enhanced, a mature workforce is needed as competition will be intense. An ecosystem of product companies and service providers is rapidly developing and we can expect an increasing number of products to be launched from India. This phase will be marked by cutting-edge knowledge capital and intellectual property of India.

The IT industry succeeded because society believed in its story and helped to facilitate its rise. Cities welcomed people from across the nation to start new lives by creating infrastructure and services to support them. For its part, the industry has given India the confidence that it can produce and provide world-class products and services. It has set global standards and helped millions aspire for global standards of living, created a corporate culture based on ethics and values, democratised wealth, brought respect to the educated middle-class and established education as a primary concern for the nation. Most importantly, it has made Indians around the world proud of their country.

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